statement has been effective for more than 10 years? If we were to continue to permit the line graph to cover a period of time that is longer than 10 years, should we limit the time period that the graph may cover in any way (*e.g.*, limit the time period to no more than 20 years)?

49. Should we require funds to provide information in shareholder reports about the performance of an appropriate broad-based securities market index, as proposed? What are the advantages and disadvantages of this information? Does information about an appropriate broad-based securities market index's performance provide investors with a helpful performance indicator of the overall relevant market? [205] If so, do these benefits justify the burdens, including costs to the fund (and ultimately its shareholders) of paying one or more index providers to allow the fund to include this information in the fund's disclosure? Is cost a significant factor for funds when they determine which, and how many, indexes to include in their shareholder reports? How are these costs assessed (for example, are they assessed on a per-disclosure basis or on some other basis)?

50. Should we modify the definition of "appropriate broad-based securities market index," as proposed? If not, why not? If so, is the proposed definition appropriate, or should we modify it in any way? For example, should we permit funds to use blended indexes only as secondary indexes, as proposed (as an index could be "broad-based" only if it represents the overall applicable equity or debt markets), or should we permit funds to use these indexes as primary appropriate broad-based securities market indexes under certain circumstances? If we were to permit this, what if any conditions would be appropriate to ensure that the index remains "broad-based"? For example, should there be requirements limiting a fund to the

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[205] *See* MDFP Adopting Release, *supra* footnote 180, at n.21 and accompanying text.

number of indexes that could be blended for this purpose (*e.g.*, 2), or the types of indexes that could be blended? Similarly, should we modify current requirements that permit funds to use non-securities market indexes only as secondary indexes, and not as appropriate broad-based securities market indexes? Are there concerns with certain funds using blended indexes or non-securities market indexes as secondary, rather than primary, indexes, such as concerns about investor understanding or costs associated with disclosing multiple indexes (*e.g.*, index licensing fees)? Do blended or non-securities market indexes provide an appropriate point of comparison for an investor to evaluate his or her fund's performance? If we were to allow blended indexes or non-securities market indexes as a primary index, how could we tailor this approach to make sure that investors receive a performance indicator of the overall applicable market?[206] Is the proposed definition clear? For example, is it clear that an index composed of securities of firms in a particular industry or group of related industries would not be broad-based?

51. Are there other changes we should make to the definition of appropriate broad-based securities market index, or to the framework for providing index performance more generally? For example, are there ways we could facilitate an investor's ability to understand the relevance of an appropriate broad-based securities market index, while maintaining funds' flexibility to select an appropriate and cost-effective benchmark?[207] As another example, are there ways we could address concerns that some funds may choose an index for the purpose

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[206] *See* MDFP Adopting Release, *supra* footnote 180, at n.21 and accompanying text.

[207] *See, e.g.*, Fowler Comment Letter ("Compare to a market measure I understand, and the asset class the fund holds."); Ewing Comment Letter ("Compare against a market measure I know, like the S&P 500, not some obscure thing I never heard of."); Frank W. Comment Letter; *see also* ICI Comment Letter I (requesting that the Commission be mindful of, and sensitive to, the fees and costs associated with including index information in a fund's prospectus).

of making the fund's performance look better? Are there other instructions or guidance we could provide regarding the selection of an appropriate broad-based securities market index?

52. We are proposing to amend the definition of appropriate broad-based securities market index for purposes of Form N-1A. Should the same amended definition apply to fund prospectuses and fund shareholder reports, as proposed? If not, why not? Should we make corresponding amendments to the definition of appropriate broad-based securities market index in Form N-2 with respect to MDFP requirements for registered closed-end funds?[208] Why or why not?

53. Should funds have discretion to provide information in shareholder reports about the performance of more narrowly based indexes that reflect the market sectors in which the fund invests, as proposed? Is the information these indexes provide helpful to shareholders, or does additional index performance information make the disclosure more difficult for shareholders to understand?

54. Should index providers be required to meet certain governance, due diligence, or other similar standards if an index's performance will be included in fund disclosure? Why or why not? If we imposed any such requirement, how would funds expect to determine whether those standards have been met?

55. Are there alternative measures that we should permit or require funds to use to provide investors with comparative information about market performance, instead of an appropriate broad-based securities market index or more narrowly based indexes that reflect

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[208] *See* Instruction 4.g(2)(F) to Item 24 of Form N-2, as amended by Closed-End Fund Offering Reform Adopting Release, *supra* footnote 128.

the market sectors in which the fund invests? If so, what alternative measures (*e.g.*, the rate of inflation or a risk free rate), and why are those measures appropriate and preferable to the use of indexes?[209]

iii. Performance Table

We are proposing to retain the current requirement that funds' annual reports include a table presenting average annual total returns for the past 1-, 5-, and 10-year periods, although we are proposing amendments to require three pieces of additional information. Specifically, the proposal would require that the table include: (1) the average annual total returns of an appropriate broad-based securities market index; (2) the fund's average annual total returns without sales charges (in addition to current disclosure that shows returns reflecting applicable sales charges); and (3) average annual total returns for each class that the report covers, in each case for the past 1-, 5-, and 10-year periods.[210] The average annual total returns table is designed to assist shareholders in comparing the performance of different funds.[211] We also believe that the table complements the line graph to help shareholders evaluate a fund's performance and risks.

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209 For example, some market participants consider the 10-year U.S. Treasury note rate as a risk-free rate.

210 *See* Item 27(b)(7)(ii)(B) of Form N-1A; proposed Item 27A(d)(2)(ii) of Form N-1A. Item 27(b)(7)(ii)(B) of Form N-1A currently requires the following:

"In a table placed within or next to the graph, provide the Fund's average annual total returns for the 1-, 5-, and 10-year periods as of the end of the last day of the most recent fiscal year (or for the life of the Fund, if shorter), but only for periods subsequent to the effective date of the Fund's registration statement. Average annual total returns should be computed in accordance with Item 26(b)(1)."

211 *See* MDFP Adopting Release, *supra* footnote 180, at paragraph accompanying n.26. We recognize, however, that the table has certain limitations with respect to fund comparisons because it reflects fiscal year data and funds can have different fiscal year periods.

The amendments we are proposing to the average annual total returns table are designed, in part, to better conform the table to a similar presentation that funds include in their prospectuses. Like the current prospectus disclosure regarding average annual total returns, we propose to require funds to include in the shareholder report table information about the average annual total returns of an appropriate broad-based securities market index.[212] A fund would provide the index's returns for the same periods as its own returns (*e.g.*, 1-, 5-, and 10-year periods). We understand that many funds already provide this information in their annual reports. We believe that requiring all funds to provide this information would help shareholders better understand a fund's performance and risks in the context of the broader market.[213] We also believe that proposing this change would be beneficial because fund shareholders may no longer receive annual prospectus updates as a result of our proposed amendments to the prospectus delivery framework for existing fund shareholders.[214] Consistent with the current prospectus performance presentation, the proposed amendments would permit funds to include returns information for one or more other relevant indexes, such as a more narrowly based index that reflects the market sectors in

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212 *See* Item 4(b)(2)(iii) of Form N-1A (requiring that a fund's prospectus include a table showing its average annual total returns for 1-, 5-, and 10-calendar year periods, along with the returns of an appropriate broad-based securities market index for the same periods). The proposed amendments to the performance table would use the same amended definition of an appropriate broad-based securities market index as the proposed line graph presentation. *See supra* paragraph accompanying footnote 197.

213 *See* 1998 Form N-1A Prospectus Amendments, *supra* footnote 151, at text accompanying n.69 (discussing the purpose of the required prospectus disclosure regarding the average annual total returns of an appropriate broad-based securities market index).

214 *See infra* Section II.E.

which the fund invests.[215] We are proposing to permit funds to include more than one index in the table because we understand that in some cases this approach may help shareholders understand how the fund's performance compared to, for example, performance of both the broader market and the market sector in which the fund invests. These proposed amendments are designed to help shareholders more easily evaluate a fund's performance and risks relative to the market and to better align the information in the table with the current line graph presentation so a shareholder has contextual information to help assess both year-over-year returns and average annual returns over set periods. At the same time, we recognize concerns about the use of indexes in performance presentations, and we are seeking comment on our proposed approach.[216]

We further propose to modify the average annual total returns table to require funds to separately provide the average annual total returns with and without sales charges, as applicable.[217] Currently, the table is only required to include average annual total returns that reflect sales charges.[218] We believe comparative information about average annual total

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215 *See* Instruction 2(b) to Item 4(b)(2) of current Form N-1A; Instruction 2(b) to proposed Item 4(b)(2) of Form N-1A (amending the cross reference to the description of other more narrowly based indexes from Instruction 6 to current Item 27(b)(7) to Instruction 7 to proposed Item 27A(d)(2)); Instruction 7 to proposed Item 27A(d)(2) of Form N-1A.

216 *See supra* Section II.B.2.c.ii.

217 *See* proposed Item 27A(d)(2)(ii) of Form N-1A. One commenter on the Fund Investor Experience RFC prepared a mock summary shareholder report that included average annual total returns shown with and without sales charges, as applicable. *See* ICI Comment Letter I. Under the proposal, a fund that does not impose sales charges would only provide a single set of average annual total returns figures (*i.e.*, returns without sales charges).

218 *See* Item 27(b)(7)(ii)(B) of Form N-1A (requiring average annual total returns computed in accordance with Item 26(b)(1), which reflects sales charges in the calculation of returns). In connection with the proposed amendment, we propose to add a new computation instruction to explain that funds should calculate average annual total returns without sales charges in

returns with and without sales charges may help shareholders better understand the impact of sales charges on the returns of their investments. We also believe that additional information about average annual total returns without sales charges may help shareholders better compare the fund's returns to that of a relevant index.[219]

We also propose to add a new instruction for the average annual total returns table to require a fund to provide average annual total returns information for each class the shareholder report covers.[220] This is consistent with the prospectus average annual total returns table, which must reflect average annual total returns for every class a prospectus covers.[221] We believe it is important for shareholders to receive performance information that directly relates to the class in which they invest. Because each class can have different expenses that affect the class's returns, performance information for each class would allow a shareholder to understand the performance of his or her investment better and to compare performance among the classes the report covers.[222] While the proposed shareholder report expense disclosure would include class-specific performance information for the reporting

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accordance with Item 26(b)(1) of Form N-1A, except the fund should not deduct sales charges as otherwise described in the instructions to that item. To provide a fund's 1-year annual total return without sales charges, a fund would use the same 1-year total return figure reflected in its most recent audited financial highlights. *See* Instruction 5 to proposed Item 27A(d)(2) of Form N-1A.

219 Further, the proposed requirement to present the fund's annual total return without sales charges for the last fiscal year would align with audited information shareholders currently receive in the financial highlights section of shareholder reports. *See* Item 27(b)(2) of Form N-1A; Instruction 3 to Item 13(a) of Form N-1A. We understand that some shareholders review financial highlights information when assessing and monitoring their fund investments. *See, e.g.*, *supra* footnote 52.

220 *See* Instruction 13(b) to proposed Item 27A(d)(2) of Form N-1A.

221 *See* Instruction 3(c)(i) to Item 4(b)(2) of Form N-1A.

222 *See* 1998 Form N-1A Prospectus Amendments, *supra* footnote 213, at text accompanying n.66.

period, the average annual total returns table would provide class-specific performance information over a longer time period. Further, although the line graph in the annual report similarly provides longer-term performance information, it is not currently required to include information for each class (nor are we proposing to require this, because we recognize that additional lines in the graph for each class may make the graph difficult to read). Additionally, under the proposal, shareholders generally may not receive annual prospectus updates, which include class-specific returns, and would instead receive prompt notices of certain material changes that generally would not include this information. As a result of these considerations, we believe the average annual total returns table in the shareholder report should include information for each class the report includes.

Currently, funds must include a statement accompanying the line graph and table to the effect that past performance does not predict future performance, and that the line graph and table presentations do not reflect taxes that a shareholder would pay on fund distributions or redemptions.[223] We propose to simplify the statement about past performance. Specifically, under the proposed amendments, a fund would be required to include a statement to the effect that the fund's past performance is not a good predictor of how the fund will perform in the future.[224] We propose to require funds to use text features to make this statement noticeable and prominent through, for example, graphics, larger font size, or different colors or font

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223 *See* Item 27(b)(7)(ii)(B) of Form N-1A.

224 *See* proposed Item 27A(d)(2)(iii)(A) of Form N-1A. We also propose to make a conforming change to similar language that must appear in the prospectus. *See* proposed amendments to Item 4(b)(2) of Form N-1A.

styles.[225] Under the proposal, funds would continue to be required to state that the disclosed performance information does not reflect the deduction of taxes that a shareholder would pay on fund distributions or the redemption of fund shares to alert investors to these tax consequences.[226]

Additionally, we propose to add a new instruction allowing funds to add brief additional disclosure that would contextualize the line graph and average annual returns table they include in their shareholder reports. Specifically, the proposed instruction provides that if a material change occurred to the fund during the relevant performance period, such as a change in investment adviser or a change to the fund's investment strategies, the fund may include a brief legend or footnote to describe the material change and when it occurred.[227] We believe this additional disclosure could help shareholders understand potential changes in fund performance related to material fund changes that have occurred during the relevant performance period.[228] Under the proposal, funds would have discretion to determine when to disclose information about a prior material change to a fund in connection with its performance presentation. We are proposing a discretionary approach, instead of requiring funds to include this disclosure for all material changes, because we recognize that some

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225 *See* proposed Item 27A(d)(2)(iii)(A) of Form N-1A.

226 *See* proposed Item 27A(d)(2)(iii)(B) of Form N-1A.

227 *See* Instruction 14 to proposed Item 27A(d)(2). In addition, consistent with current Form N-1A requirements, if a fund uses an index in a shareholder report that is different from the index used for the immediately preceding reporting period, the later report would need to explain the reason(s) for the change and disclose the returns of both the new and former indexes. *See* Instruction 7 to Item 27(b)(7)(ii) of Form N-1A; Instruction 8 to proposed Item 27A(d)(2) of Form N-1A.

228 *See* Blanchard Comment Letter (suggesting that identifying fund changes that may have changed a fund's performance would improve current fund performance presentations).

material changes to a fund may not affect a fund's performance, or may have only an insignificant effect on performance. Although a fund generally would be able to use discretion to determine when to disclose a prior material change in connection with its performance presentation, a fund would need to disclose information about such a change if, absent that disclosure, the fund's performance presentation would otherwise be misleading.[229]

While we believe it is beneficial for shareholders to receive information about a fund's performance in the annual report each year, we understand that funds provide more current, ongoing performance information through other mechanisms, such as their websites. We are proposing to require funds that provide updated performance information through widely accessible mechanisms, such as fund websites, to include a statement in the shareholder report directing shareholders to where they can find this information.[230] If a fund were to include such a statement, it also would be required to provide a means of facilitating access to the updated performance information, including, for example, a hyperlink to where the information may be found if the shareholder report is provided electronically or a URL address or QR code if the shareholder report is delivered in paper format.[231]

We request comment on the proposed average annual total returns table and associated amendments, including the following:

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229 *See, e.g.*, rule 8b-20 under the Investment Company Act [17 CFR 270.8b-20].

230 *See* Instruction 15 to proposed Item 27A(d)(2).

231 *See* Instruction 9 to proposed Item 27A(a); *see also infra* footnotes 342 and 343 and accompanying paragraph. Consistent with this instruction, a fund could provide a direct link to the updated performance information or a link to a central site that provides a direct link to the fund's updated performance information.